SAMPLE PERSONAL LOAN AGREEMENT (FAKE DOCUMENT FOR TESTING)

Loan product: Horizon Personal Loan. All names, numbers and terms below are invented.

1. Loan terms

The loan amount is Rs 10,00,000 and is paid to the borrower in a single payment after the agreement is signed.

The interest rate is 10.5% per year, fixed for the whole tenure of 5 years (60 monthly instalments).

A processing fee of 1% of the loan amount, plus taxes, is deducted from the loan amount before payment.

The monthly instalment (EMI) is due on the 5th day of every month and is collected by auto-debit from the borrower's bank account.

The borrower must keep enough balance in the account at least one working day before the due date.

A loan insurance cover is optional. The borrower may decline it in writing before the loan is paid out.

2. Prepayment and foreclosure

The borrower may prepay part of the loan only after 6 months from the date of the first instalment.

A prepayment charge of 2% of the outstanding principal applies to every part-payment and to full foreclosure of this fixed-rate loan.

The minimum amount for a part-prepayment is Rs 25,000. After a part-prepayment the EMI stays the same and the tenure becomes shorter.

To close the loan early, the borrower must give a foreclosure notice of 15 days in writing or through the app.

After foreclosure the lender will issue a no-dues certificate within 7 working days and return any original documents.

3. Late payment and default

A late payment charge of 2% per month is added to every overdue EMI until it is paid.

A bounce charge of Rs 500 applies each time an auto-debit or cheque payment fails for lack of funds.

If an EMI is overdue for more than 30 days, the lender will report the delay to the credit bureaus.

If an EMI is overdue for more than 90 days, the account is classified as non-performing and the lender may begin legal recovery.

The lender may demand the full outstanding amount immediately if the borrower gave false information in the application.

Complaints can be sent to the lender's grievance officer. If not resolved within 30 days, the borrower may approach the banking ombudsman.